OCAD - ONE COMPANY A DAY

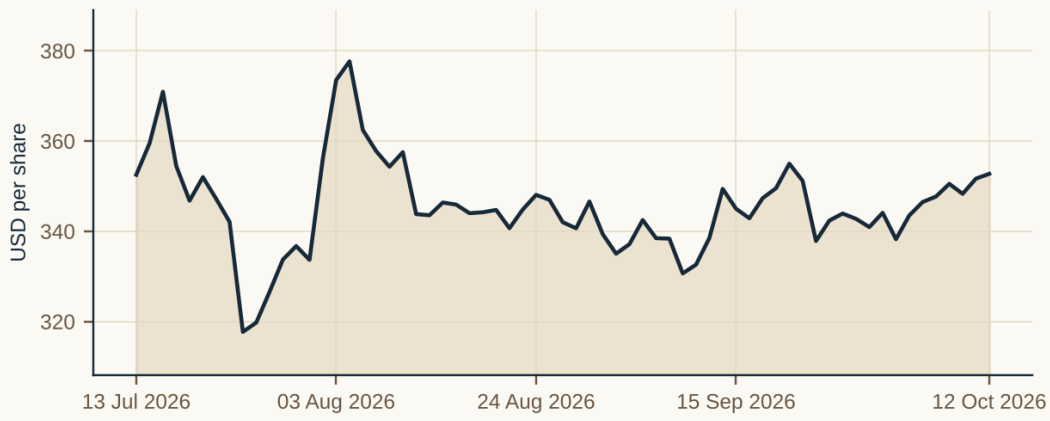
SERIES: INTERNET AND DIGITAL

Alphabet Inc.

GOOGL (Class A) | NASDAQ

USD 352.72 per share

Closing price, Monday 12 October 2026, latest completed trading day



GOOGL daily closing price, 13 July to 12 October 2026, USD per share. Source: Alpha Vantage daily price series.

REPORT DATE
13 October 2026

ANALYST
Arthur Faugeron

SERIES
Internet and Digital

EXCHANGE
NASDAQ

Executive Summary

Alphabet is a two-engine business: a mature advertising franchise that still produces most of operating profit, and a Cloud and AI infrastructure business that grew 82% in the second quarter of 2026. The stock closed at USD 352.72 on 12 October 2026, a market capitalization of about USD 4.31 trillion, while reported earnings are inflated by a one-off USD 99.0 billion equity gain and free cash flow has fallen under a capital programme of USD 195 to 205 billion.

Business

Alphabet sells advertising (Search, YouTube, Network), cloud infrastructure and software (Google Cloud), and subscriptions, platforms and devices. In the second quarter of 2026, Search and other was 52.8% of USD 119.8 billion revenue and Cloud 20.7%. Customers are advertisers, enterprises and consumers; the United States was 48.2% of 2025 revenue and international markets about 52%.

Financial Condition

Trailing twelve month revenue to June 2026 is USD 445.9 billion (second quarter growth 24.2%), operating income USD 147.8 billion (33.1% margin) and reported net income USD 244.2 billion, of which a large part is non-operating equity gains. Operating cash flow was USD 185.7 billion but free cash flow only USD 53.3 billion after USD 132.4 billion of capital expenditure. Cash and marketable securities of USD 242.5 billion exceed total debt of USD 112.8 billion, a net cash position of about USD 130 billion.

Market Position

Direct competitors are Microsoft, Amazon and Meta, with OpenAI, Anthropic and Apple as the most important indirect forces. The main advantage is the combination of distribution, proprietary data, in-house silicon and a USD 514 billion Cloud backlog; the main weakness is dependence on advertising for more than 70% of revenue and exposure to antitrust remedies and to AI substitution of classic search.

Valuation

At USD 352.72 the market capitalization is about USD 4.31 trillion and enterprise value about USD 4.19 trillion. Trailing P/E is 17.7x but distorted by the gain; forward P/E is 26.2x, EV/EBITDA 24.2x, EV/sales 9.4x and P/FCF 81.0x. On operating income taxed at 17% the multiple is about 35x.

Investment Framework

WHAT IS ATTRACTIVE	Cloud revenue of USD 24.8 billion growing 82% at a 35.6% operating margin, a backlog of USD 514 billion, Search growth of 17%, and a net cash balance sheet.
WHAT IS CONCERNING	Free cash flow of negative USD 5.9 billion in the second quarter, debt up from USD 23.6 billion to USD 98.2 billion of long-term borrowing in a year, repurchases stopped, and earnings quality distorted by mark-to-market gains.
WHAT MUST GO RIGHT	Cloud and AI revenue must convert the backlog on schedule so that capital expenditure of about USD 200 billion earns more than its cost of capital, while Search monetization holds as AI answers spread.
WHAT COULD BREAK THE THESIS	A structural remedy in the search or advertising technology cases, lasting loss of AI model leadership, or a reversal in the value of the equity stakes combined with weaker Cloud demand.
PRICED IN	A discount rate near 8% on our base cash flows, or growth and margins well above the base case at a 10% discount rate: expectations are optimistic.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	Very high: two scaled profit pools, 59.7% gross margin and 32.0% operating margin in 2025
Financial quality	High on operations, lower on reported earnings: net income includes USD 99.0 billion of equity gains in one quarter
Competitive position	Strong in advertising and data, contested in AI models and in Cloud
Growth profile	Accelerating: revenue growth of 15.1% in 2025 and 24.2% in the second quarter of 2026
Balance-sheet risk	Low on solvency (net cash, 2.7x current ratio), rising on capital intensity
Valuation	Demanding: 81x trailing free cash flow, above its own five-year range
Market and technical profile	Constructive but range-bound: above 50 and 200 day averages, 13.7% below the May 2026 monthly high

Source: analyst assessment based on the figures in sections B and C.

A. About the Business

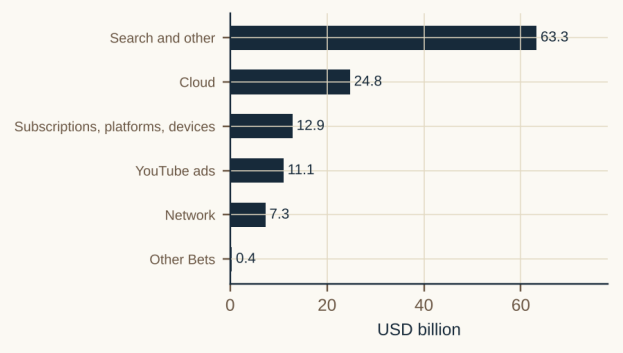
A1. Business Environment

Alphabet operates in three connected industries. The first is digital advertising, where intent-based search and video advertising monetize attention. Industry forecasts put 2025 worldwide media advertising above USD 1 trillion with digital above 75% of the total, and expect Google and YouTube to be the first advertiser-facing business above USD 200 billion of worldwide digital ad revenue; Google's ad growth was forecast at 9.2%, near the bottom of the large platforms. The second is cloud infrastructure and platform services, a capital-intensive oligopoly in which Amazon, Microsoft and Google compete for enterprise and AI workloads. The third is consumer technology (Android, Chrome, devices, subscriptions) that supplies distribution and data.

The value chain runs from silicon, data centres and power, through models and platforms, to products that reach users and advertisers. Value is created where scale is hard to copy: query data and auction liquidity in advertising, and utilization of expensive compute in cloud. Value is captured by the owners of the demand interface (the search box, the browser, the phone operating system) and by the owners of scarce capacity. Industry size for cloud was Not Retrieved from a primary source; Alphabet's own Cloud revenue of USD 24.8 billion in the second quarter is the best available datapoint.

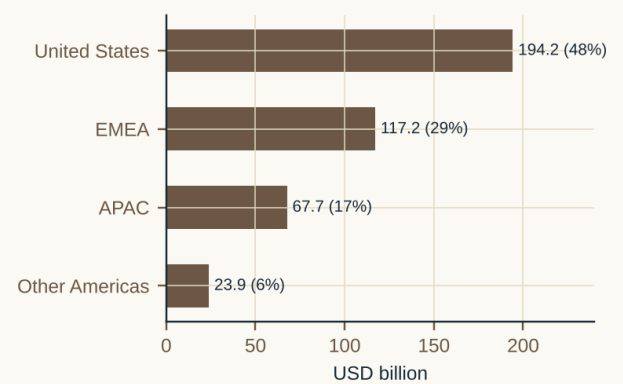
Advertising is cyclical with corporate budgets and regulated on privacy and competition. Cloud is less cyclical but its economics depend on capital intensity: Alphabet guides 2026 capital expenditure to USD 195 to 205 billion, up from USD 91.4 billion in 2025. The industry is concentrated: a handful of platforms capture most digital advertising and three hyperscalers dominate cloud.

Revenue by type, Q2 2026



Source: Alphabet Q2 2026 earnings release. USD billion.

Revenue by region, FY2025



Source: Alphabet Q4 2025 earnings release. USD billion, share of USD 402.8 billion.

INDUSTRY STAGE: STRUCTURALLY TRANSFORMING

> Advertising is mature but still growing at double digits for the leader; cloud and AI infrastructure is in a high-growth, capital-heavy build-out; search is being disrupted by generative answers. The classification rests on Alphabet's own numbers: Search and other grew 17% in the second quarter while Cloud grew 82%, and capital expenditure doubled year on year.

A2. What Does the Company Do?

Think of Alphabet as three businesses sharing one technology base. Google Services runs Search, YouTube, Android, Chrome, Maps, Play and the advertising and subscription products built on them. Google Cloud sells compute, storage, data and AI platforms and Workspace productivity software to enterprises. Other Bets are early stage ventures with USD 382 million of quarterly revenue and a USD 1.8 billion operating loss.

Advertisers pay per click, per impression or per conversion through auctions; Cloud customers pay for consumption and committed contracts, which is why the backlog matters; consumers pay subscriptions (YouTube, Google One, devices). Revenue is mostly recurring in the sense of habitual, but advertising is renewed daily and is therefore cyclical. The largest operating costs are cost of revenues (traffic acquisition costs of USD 16.2 billion in the second quarter, content, data centre depreciation), research and development (USD 61.1 billion in 2025, 15.2% of revenue) and sales and marketing. Capital needs are now very large: capital expenditure was 22.7% of 2025 revenue and 29.7% of trailing revenue.

How one dollar of revenue is used

1. CUSTOMER
Advertisers, enterprises, developers, consumers and public sector buyers

2. PRODUCT AND SERVICE
Search, YouTube, Android and Chrome, Cloud and Gemini AI, Workspace, devices

3. REVENUE
USD 445.9 billion trailing: Search 52.8%, Cloud 20.7%, subscriptions 10.8%, YouTube 9.2%, Network 6.1% (Q2 2026)

4. COSTS
Cost of revenues 40.3% of 2025 revenue, research and development 15.2%, TAC 13.5% of Q2 revenue

5. OPERATING PROFIT
USD 147.8 billion trailing, 33.1% margin

6. CASH FLOW
Operating cash flow USD 185.7 billion, free cash flow USD 53.3 billion trailing

7. CAPITAL ALLOCATION
Capex USD 132.4 billion, dividends USD 0.22 per quarter, repurchases nil in 2026 so far, debt rising

The economically most important parts are Search (the cash engine funding everything else) and Cloud (the growth and the capital sink). Services produced USD 39.5 billion of the USD 40.8 billion operating income in the second quarter, with Cloud adding USD 8.8 billion and Other Bets and corporate costs subtracting USD 7.6 billion.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Advertisers and agencies	Pay for Search, YouTube and Network inventory	More than 70% of 2025 revenue; budgets are cyclical
Distribution partners	Browser and device makers paid traffic acquisition costs	USD 16.2 billion in Q2 2026; secures default query volume
Cloud enterprise customers	Committed multi-year contracts	Backlog of USD 514 billion, about half expected as revenue within 24 months
Chip and infrastructure suppliers	Foundry, memory, networking, power and land	Supply constraints for AI chips, power and land are a named risk
Anthropic and SpaceX	Equity investments	Drove a USD 99.0 billion quarterly equity gain; value is market dependent
Other Bets subsidiaries	Controlled ventures	USD 1.8 billion quarterly operating loss; option value
Founders Page and Brin	Class B holders	About 52.7% of voting power; control is not market contestable
Regulators and courts	DOJ, European Commission	Remedies can change distribution contracts and ad tech structure

Source: Alphabet Form 10-K FY2025; Q2 2026 earnings release; DEF 14A 2026; Futurum Group Q2 2026 note.

A4. Competition

Peers were selected because they compete for the same advertising budgets, cloud contracts, AI talent and compute supply: Microsoft (Azure, Bing, Copilot, enterprise software), Amazon (AWS and retail advertising) and Meta (social advertising and AI models). Direct competitors in cloud are AWS and Azure; in advertising, Meta, Amazon and TikTok. Indirect and substitute competitors are generative AI assistants from OpenAI and Anthropic (Anthropic is also an Alphabet investee), and Apple as gatekeeper of a large share of mobile search traffic. Emerging competitors include Chinese model developers; geographic competitors include Baidu and Yandex in their home markets.

COMPETITIVE COMPARISON, USD, TRAILING TWELVE MONTHS

Company	Mkt cap	Op. margin	Fwd P/E	EV/EBITDA	Net cash
Alphabet	4.31tn	33.1%	26.2x	24.2x	121.7bn
Microsoft	4.02tn	46.8%	27.4x	21.0x	(52.0bn)
Amazon	2.80tn	12.1%	27.7x	17.3x	(128.7bn)
Meta Platforms	1.89tn	38.1%	23.1x	17.5x	(22.1bn)

Source: StockAnalysis statistics pages, 13 October 2026 (close of 12 October); Alphabet operating margin calculated from Alphabet earnings releases. Figures in brackets are net debt. Fiscal periods differ by company.

Relative to Microsoft, Alphabet has lower operating margin but faster recent growth and net cash; Amazon has the largest cloud rival but a retail-heavy margin; Meta shares the advertising model but has no cloud business and funds AI from advertising alone. Cloud market share by provider was Not Retrieved.

A5. Competitive Differences

Structural advantages are (a) query and user data at global scale feeding ad relevance, (b) distribution through Android, Chrome and paid defaults, (c) vertically integrated AI infrastructure including in-house chips, which lowers cost per unit of compute, and (d) a funding base: USD 164.7 billion of 2025 operating cash flow. These produced a 59.7% gross margin in 2025, up from 56.9% in 2021, while revenue grew 11.8% a year over the same period. Temporary advantages are model quality and release cadence; the chief executive acknowledged a coding and agentic gap in the second quarter call, and analysts questioned delays to the next flagship model.

Disadvantages are advertising dependence (more than 70% of revenue), regulatory exposure (a final search judgment in December 2025 under appeal, and a pending ad tech remedy that includes structural proposals), rising capital intensity and a lower-margin Cloud and devices mix. Switching costs in Search are low for users but behavior-driven; in Cloud they are high once workloads and data are migrated.

MOAT ASSESSMENT: STRONG

> The advertising moat is wide but under legal and technological challenge; the Cloud position is growing and scale-protected. The rating stops short of Very Strong because pricing power in Search depends on user habits that generative AI could change.

A6. Industry Trend

Structural trends are the migration of advertising to digital and video, the shift of enterprise workloads to cloud, and the diffusion of generative AI. Alphabet’s revenue growth accelerated from 8.7% in 2023 to 13.9% in 2024, 15.1% in 2025 and 24.2% in the second quarter of 2026, driven by Cloud. Search and other grew 17% in the quarter, which shows no sign yet of cannibalization. Gemini reached 950 million monthly users and model throughput of about 22 billion tokens per minute, according to the second quarter call.

Temporary conditions are the surge in AI infrastructure orders, the equity market valuation of private AI companies, and a ten-year Treasury yield of 5.22% on 8 October 2026 that raises discount rates. The trend would reverse if AI spending proves unprofitable, if enterprise budgets fall in a recession, or if regulators force changes to default distribution.

A7. Management

EXECUTIVE TEAM (APRIL 2026)

Name	Position	Background
Sundar Pichai (53)	Chief Executive Officer, Alphabet and Google; director since 2017	Leads the company through the AI transition
Anat Ashkenazi (53)	SVP and Chief Financial Officer since July 2024	Previously executive vice president and CFO of Eli Lilly
Ruth Porat (68)	President and Chief Investment Officer since September 2023	Alphabet CFO from 2015 to 2024
Philipp Schindler (55)	SVP and Chief Business Officer of Google since August 2015	Runs advertising and commercial operations
Kent Walker (65)	President Global Affairs, Chief Legal Officer, Secretary	Leads regulatory and legal strategy

Source: Alphabet DEF 14A (proxy statement) 2026. Executive compensation: Not Retrieved.

Capital allocation has shifted. From 2021 to 2025 Alphabet repurchased USD 45.7 to 62.2 billion a year and initiated a dividend in 2024 (USD 10.0 billion in 2025). In the first half of 2026 repurchases were nil against USD 28.3 billion a year earlier, while capital expenditure rose to USD 80.6 billion and debt was raised. This is rational if returns on AI infrastructure exceed the cost of capital, but it moves value away from per-share compounding towards a bet on the capital programme. Guidance accuracy on capital expenditure has been poor in one direction: the 2026 range moved from USD 175 to 185 billion to 180 to 190 billion and then 195 to 205 billion. Governance is dual class: Larry Page and Sergey Brin hold about 52.7% of voting power, the Board has ten nominees of whom seven are independent, and the Chair, John Hennessy, is independent. Insiders own about 9.9% of the shares. Shareholders are protected by annual director elections but cannot change control. Management alignment is therefore good on long-term orientation and weaker on minority shareholder influence.

B. Evaluation

B1. Financial and Operating Metrics

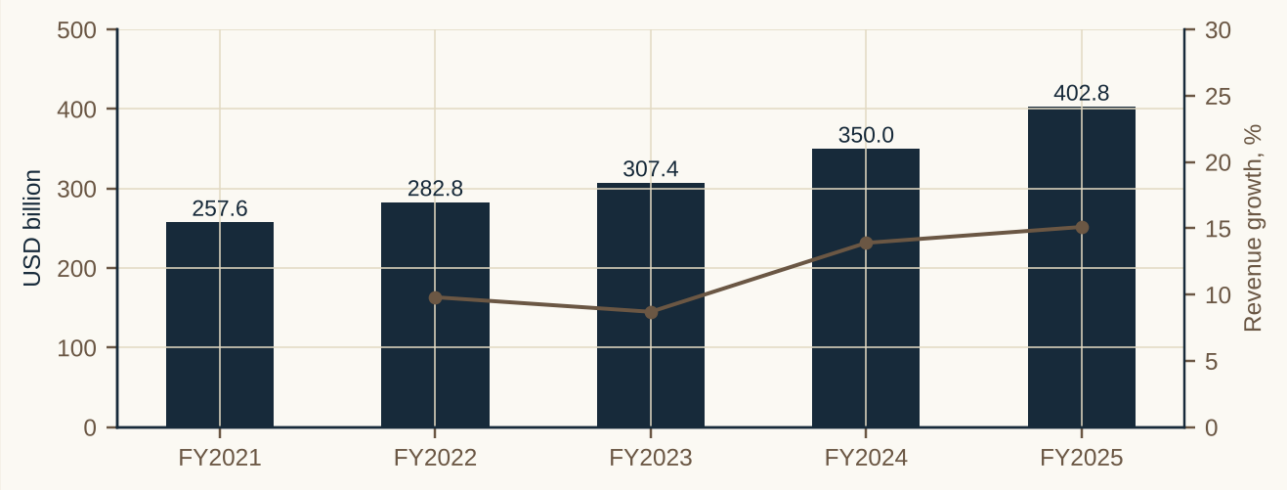
PROFITABILITY, GROWTH AND RETURNS (FISCAL YEARS TO 31 DECEMBER)

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Revenue growth	41.1%	9.8%	8.7%	13.9%	15.1%	24.2% (Q2)
Gross margin	56.9%	55.4%	56.6%	58.2%	59.7%	N/A
Operating margin	30.6%	26.5%	27.4%	32.1%	32.0%	33.1%
EBITDA margin	35.4%	31.2%	31.3%	36.5%	37.3%	38.8%
Net margin	29.5%	21.2%	24.0%	28.6%	32.8%	54.8%
ROE	32.1%	23.6%	27.4%	32.9%	35.7%	48.7%
ROIC	51.9%	40.2%	38.7%	40.6%	34.9%	24.9%

Source: Alpha Vantage statements (reported), Alphabet earnings releases; ROE and ROIC from StockAnalysis ratios page. EBITDA calculated as operating income plus depreciation and amortization; Asset turnover for the TTM column uses the average of December 2025 and June 2026 assets. TTM EBITDA margin uses USD 173 billion implied by StockAnalysis EV/EBITDA. FY2025 operating income of USD 129.0 billion per the Alphabet release (a data vendor shows USD 129.2 billion).

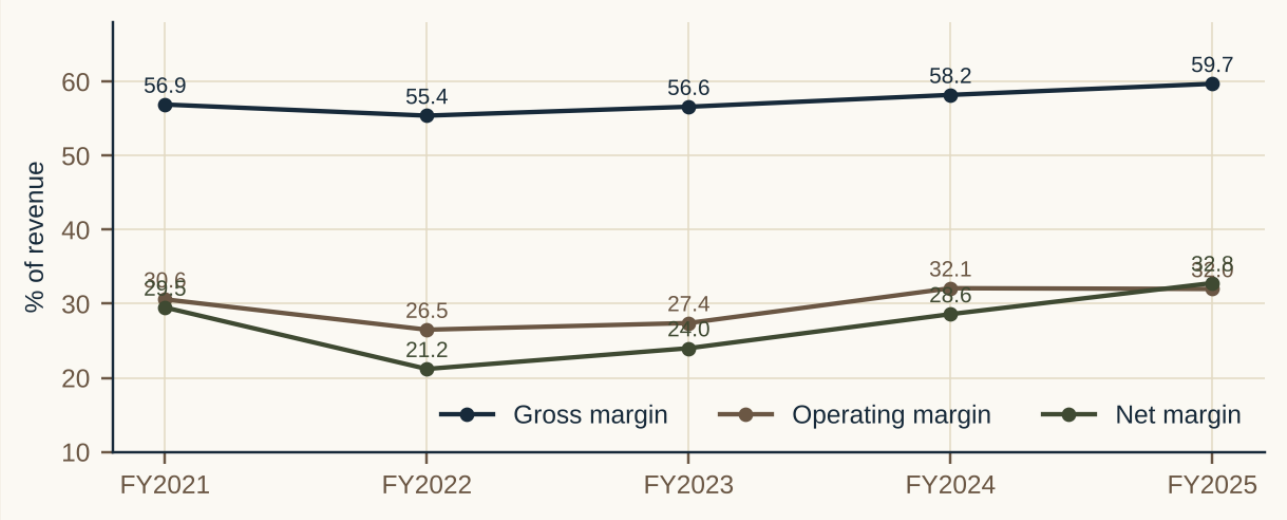
Growth: revenue compounded at 11.8% from FY2021 to FY2025 (USD 257.6 billion to USD 402.8 billion); operating cash flow at 15.8%; free cash flow at only 2.2% (USD 67.0 billion to USD 73.3 billion) because capital expenditure grew from USD 24.6 billion to USD 91.4 billion; net income at 14.8%. Diluted EPS was USD 8.04 in 2024 and USD 10.81 in 2025 (up 34.5%). Organic growth is effectively total growth; acquisitions are immaterial to the trend.

Revenue and revenue growth



Source: Alphabet annual results via Alpha Vantage. USD billion; growth in percent. FY2021 to FY2025.

Gross, operating and net margin



Source: Alphabet annual results via Alpha Vantage and Alphabet releases; calculated. Percent of revenue, FY2021 to FY2025.

Interpretation: gross margin gains of 2.8 points since 2021 and an operating margin back above 32% show operating leverage on a larger base; ROIC has however fallen from 51.9% to 24.9% as invested capital (equity includes unrealized gains and the asset base is growing fast) expands faster than operating profit. This is the central tension in the numbers: growth is accelerating while incremental returns on capital are declining.

EFFICIENCY, LEVERAGE AND CASH FLOW

Metric	FY2024	FY2025	TTM / Jun-26
Asset turnover (revenue / average assets)	N/A	0.77x	0.59x
Total debt including leases, USD bn	25.5	59.3	112.8
Net cash, USD bn (calculated)	70.2	67.6	129.7
Debt / EBITDA	0.20x	0.39x	0.65x
Interest coverage (operating income / interest)	419x	175x	32x (Q2)
Operating cash flow / net income	1.25x	1.25x	0.76x
Free cash flow margin	20.8%	18.2%	11.9%
Capex / revenue	15.0%	22.7%	29.7%
FCF yield on market capitalization	N/A	N/A	1.2%

Source: Alpha Vantage balance sheet and cash flow data; Alphabet Q2 2026 release; calculated. Net cash is cash and marketable securities less total debt including leases. Inventory turnover is not meaningful because no inventory was reported before June 2026. Interest expense of USD 1.278 billion in Q2 2026 per the release.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Antitrust remedies	High	High	Search final judgment (December 2025) under appeal; ad tech remedy proposal includes structural separation
2	AI substitution of search and model gap	Medium	High	Generative answers could lower query monetization; management acknowledged a coding and agentic gap
3	Capital intensity and returns	Medium	High	Capex of USD 195 to 205 billion in 2026 and higher in 2027; FCF fell to negative USD 5.9 billion in Q2
4	Valuation compression	Medium	High	81x P/FCF and 26x forward P/E leave little room for disappointment
5	Earnings quality and equity marks	High	Medium	USD 99.0 billion quarterly gain can reverse; USD 6.26 of USD 9.11 Q2 EPS
6	Advertising cyclicality and concentration	Medium	Medium	More than 70% of revenue; Network revenue already declining
7	Supply chain, power and macro	Medium	Medium	Chips, power and land constraints; ten-year yield 5.22%
8	Governance and key person	Low	Medium	Founders control 52.7% of votes

Source: Alphabet Form 10-K FY2025 risk factors; Q2 2026 release; Futurum Group; analyst ranking.

The three risks most capable of permanently impairing value are, in order: a structural remedy that breaks Search distribution or the advertising technology stack; durable loss of AI leadership that turns Search into a lower-margin utility; and capital expenditure that fails to earn its cost of capital, which would turn the USD 4 trillion franchise into an infrastructure utility valued on lower multiples. Financial risks are moderate: refinancing is not a concern given USD 242.5 billion of liquid assets, but interest expense already rose from USD 261 million to USD 1.28 billion per quarter.

B3. Valuation

At USD 352.72 and 12.23 billion shares the market capitalization is USD 4.31 trillion; with net cash of USD 121.7 billion (StockAnalysis) enterprise value is USD 4.19 trillion.

VALUATION MULTIPLES AGAINST OWN HISTORY

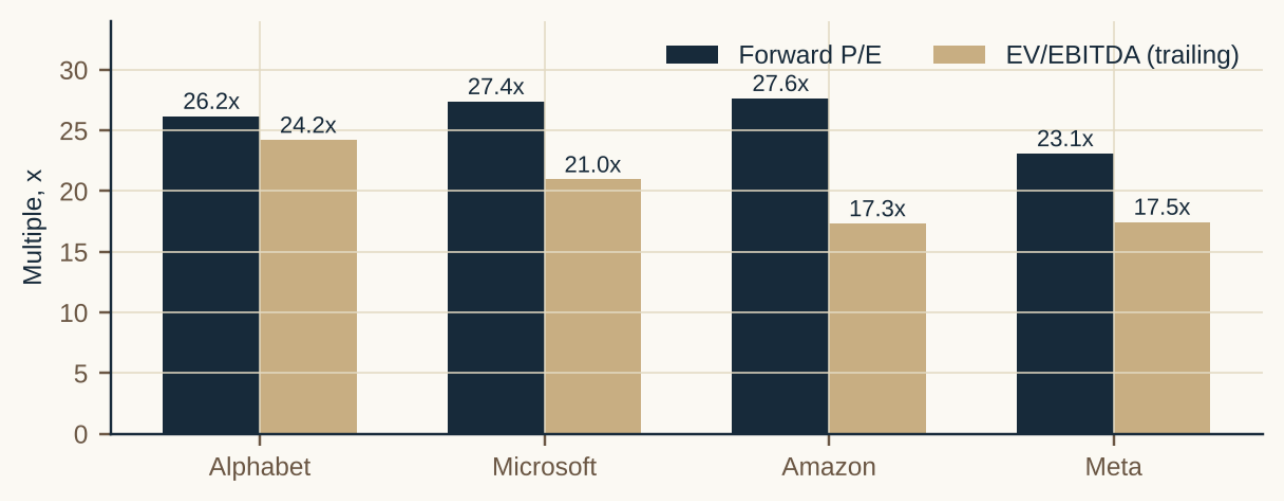
Multiple	FY2021	FY2022	FY2023	FY2024	FY2025	Current
P/E (trailing)	25.3x	19.1x	23.8x	23.2x	28.6x	17.6x
P/S	7.5x	4.1x	5.7x	6.6x	9.4x	9.7x
P/FCF	28.7x	19.1x	25.3x	31.9x	51.6x	80.7x
EV/EBITDA	20.3x	12.0x	17.3x	17.7x	24.8x	24.1x
EV/sales	7.0x	3.7x	5.4x	6.5x	9.3x	9.4x

Source: StockAnalysis financial ratios, Alphabet (GOOGL), current column dated 9 October 2026; year columns at fiscal year end. Forward P/E 26.2x (13 October 2026).

The headline trailing P/E of 17.7x is the lowest in five years only because earnings include USD 99.0 billion of non-operating gains in one quarter and about USD 37.7 billion of other income in the first. Low P/E does not mean cheap here. Revenue and operating income based multiples are all at or near the top of the five-year range: EV/sales 9.4x, EV/EBIT 28.3x (calculated: USD 4.19 trillion over USD 147.8 billion), and about 35x operating income after tax at 17%. Against peers, the forward P/E

of 26.2x is in line with Microsoft (27.4x) and Amazon (27.7x) and above Meta (23.1x); EV/EBITDA of 24.2x is the highest of the group.

Forward P/E and trailing EV/EBITDA against peers



Source: StockAnalysis statistics pages, 13 October 2026. Multiples in x.

Expectations embedded in the price are tested in section C5. At a 10% discount rate the base case gives about USD 231 per share, so the market is either using a discount rate near 8% or assuming growth about 8 to 10 points a year above our base with higher margins. We classify expectations as optimistic: they require both the Cloud backlog to convert and the capital programme to earn attractive returns.

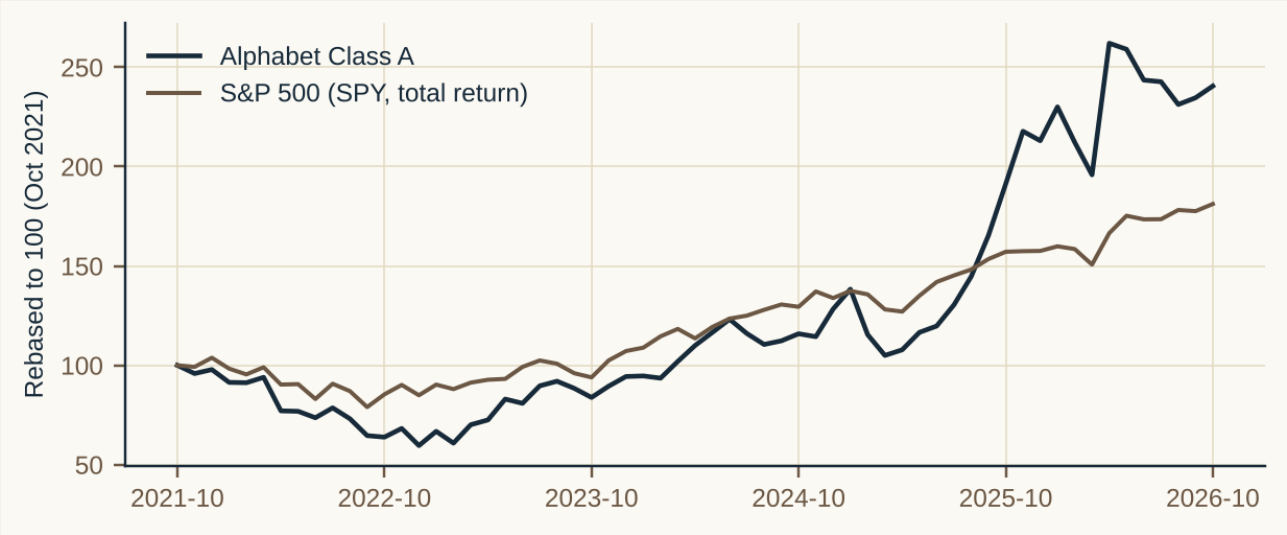
B4. Capital Market and Stock Analysis

PRICE RETURNS, CLASS A SHARES AND S&P 500 (SPY)

Period (base date)	GOOGL	S&P 500	Relative
1 day (9 to 12 October 2026)	0.3%	N/A	N/A
1 week (five sessions)	1.8%	N/A	N/A
1 month (since 30 September 2026)	2.5%	2.0%	+0.5 pts
3 months (since 31 July 2026)	(0.9%)	4.4%	(5.3) pts
6 months (since 30 April 2026)	(8.2%)	8.8%	(17.0) pts
Year to date (since 31 December 2025)	12.9%	15.0%	(2.1) pts
1 year (since 31 October 2025)	25.8%	15.3%	+10.5 pts
3 years (since 31 October 2023)	187.0%	92.9%	+94.1 pts
5 years (since 29 October 2021)	140.5%	81.2%	+59.4 pts

Source: Alpha Vantage adjusted monthly and daily series to 12 October 2026; total return basis (dividend adjusted); calculated. Month-end bases mean the stated periods are approximate. The compound annual return over five years is 19.2%.

Alphabet against the S&P 500, rebased to 100

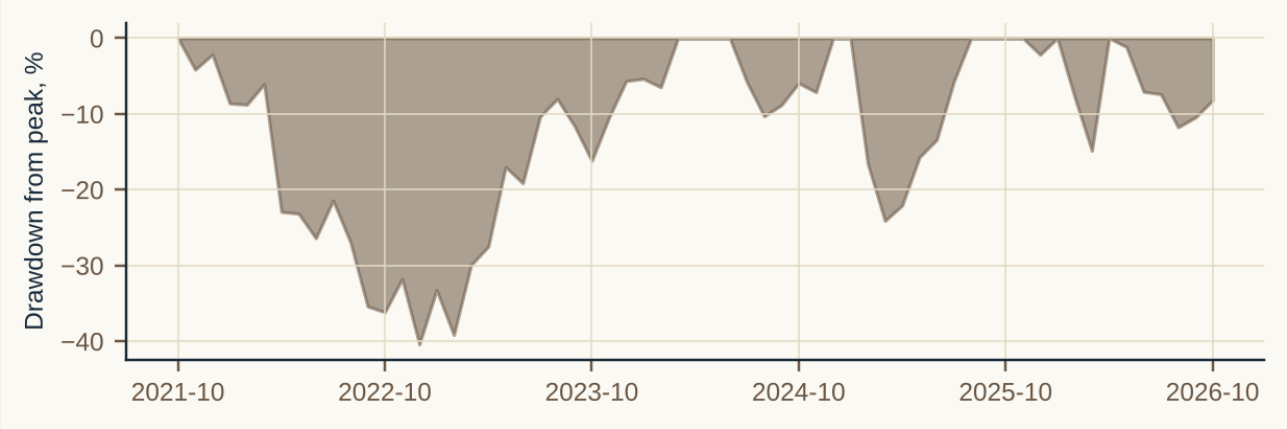


Source: Alpha Vantage adjusted monthly closes (SPY as benchmark proxy), October 2021 to 12 October 2026.

VOLATILITY AND RISK

Measure	Value	Basis
Annualized volatility, five years (monthly returns)	31.0%	Calculated
Annualized volatility, three months (daily returns)	33.7%	Calculated
Downside volatility (monthly, annualized)	17.2%	Calculated
Beta versus S&P 500, five years monthly	1.20	Calculated; vendor 1.21
Correlation with S&P 500	0.60	Calculated
Maximum drawdown, five years (month-end)	(40.4%)	Calculated; S&P 500 (23.9%)
Average true range, 14 days	USD 8.22 (2.3%)	Alpha Vantage

Alphabet drawdown from running peak



Source: Alpha Vantage adjusted monthly closes, October 2021 to 12 October 2026; calculated. Percent.

The stock fell about 40% from the 2021 high to the late 2022 low as advertising slowed, then rose about 2.9 times over three years as growth reaccelerated. The last year was dominated by two moves: a 33.8% gain in April 2026 and a 7.1% single-day fall on 23 July 2026 after the second quarter report, when volume reached 69.4 million shares on capex and negative free cash flow. Since then the stock has traded between USD 320 and USD 378.

Technical structure: the close of USD 352.72 is above the 50-day average of USD 346.2 (calculated from the last 63 closes) and the 200-day average of USD 339.9 (Alpha Vantage). The 14-day RSI is 57, neutral; the MACD line (1.7) is above its signal (0.7). Twenty-day average volume is about 25.5 million shares against 19.1 million on 12 October. Support is near USD 318 (23 July low) and USD 330 (9 September low); resistance near USD 378 (4 August high) and the May 2026 monthly high of USD 408.6. The structure is a consolidation inside an uptrend; it says nothing about intrinsic value, which depends on cash flows and is analysed in section C.

C. Financial Statements

C1. Income Statement

INCOME STATEMENT SUMMARY, USD BILLION (US GAAP)

Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Revenue	257.6	282.8	307.4	350.0	402.8	445.9
Gross profit	146.7	156.6	174.1	203.7	240.3	N/A
Research and development	31.6	39.5	45.4	49.3	61.1	N/A
Operating income	78.7	74.8	84.3	112.4	129.0	147.8
Income tax expense	14.7	11.4	11.9	19.7	26.7	N/A
Net income	76.0	60.0	73.8	100.1	132.2	244.2
Diluted EPS (USD)	N/A	N/A	N/A	8.04	10.81	N/A

Source: Alpha Vantage statements derived from Form 10-K data; Alphabet Q4 2025 and Q2 2026 releases (reported). TTM is the sum of four reported quarters. EPS before 2024 Not Retrieved on the post-split basis.

Growth drivers: 2025 revenue rose USD 52.8 billion, with Cloud and Search as the largest contributors; Network revenue declined (USD 7.3 billion in Q2 2026 against USD 7.4 billion). Price and volume are not disclosed separately; Cloud growth is volume and new workloads, not currency. Operating leverage is visible: in 2025 revenue grew 15.1% and operating income 14.8%, but in the second quarter of 2026 revenue grew 24.2% and operating income 30.4% (USD 40.8 billion against USD 31.3 billion). Margins were contracting in 2022 (26.5%), recovered to 32% in 2024 to 2025 as headcount was controlled, and are now stable to expanding. Tax rate was 16.8% in 2025. Stock-based compensation was USD 25.0 billion (6.2% of revenue) and is a real cost that should be viewed against the USD 45.7 billion repurchases that offset it.

The second quarter of 2026 contains a very large non-operating item. Other income, net was USD 98.0 billion against USD 2.7 billion a year earlier, driven by a USD 99.0 billion gain on equity securities, mostly unrealized; Alphabet states it added USD 77.1 billion to net income and USD 6.26 to diluted EPS. Excluding it, second quarter diluted EPS would have been about USD 2.85. Press coverage attributes most of the gain to the stakes in Anthropic and SpaceX; SpaceX listed in June 2026. Adjusted metrics here are the analyst’s and are not the company’s.

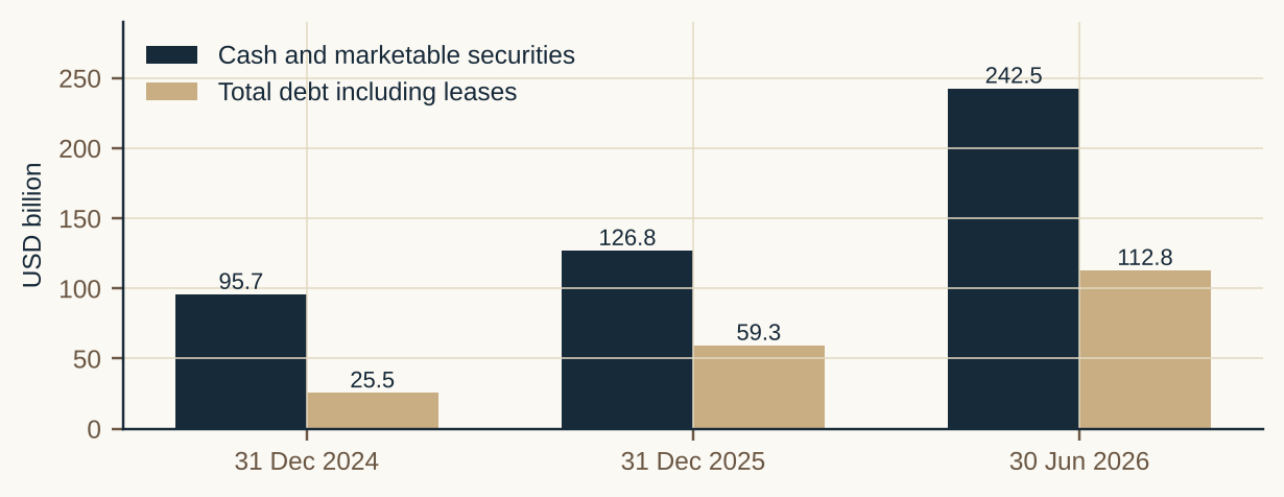
C2. Balance Sheet

BALANCE SHEET SUMMARY, USD BILLION

Item	31 Dec 2024	31 Dec 2025	30 Jun 2026
Cash and marketable securities	95.7	126.8	242.5
Receivables	52.3	62.9	69.2
Inventory	N/A	N/A	10.0
Goodwill	31.9	33.4	57.8
Total assets	450.3	595.3	922.0
Accounts payable	8.0	12.2	20.3
Long-term debt	10.9	46.5	98.2
Total debt including leases	25.5	59.3	112.8
Total liabilities	125.2	180.0	281.5
Shareholders’ equity	325.1	415.3	640.5

Source: Alpha Vantage balance sheet data from Alphabet filings (reported); Alphabet Q2 2026 release for cash and marketable securities. Property and equipment are not separately tagged in the data used.

Cash and marketable securities against total debt



Source: Alpha Vantage balance sheet data and Alphabet releases. USD billion; debt includes lease obligations.

Balance-sheet strength is high. Net cash was about USD 130 billion, the current ratio 2.7x (current assets USD 343.5 billion over current liabilities USD 126.1 billion), working capital USD 217.4 billion, equity ratio 69.5%, debt to equity 0.18x. Total assets rose 55% in six months, mostly from marketable securities that reflect the equity gains, debt-funded cash and goodwill (up USD 24.4 billion since December, consistent with acquisition activity). Red flags: a USD 10.0 billion inventory line that was absent at year end (analyst interpretation: hardware and chip supply positions), receivables up 10% in six months against 24% revenue growth (acceptable), and quality of the asset base: a material part of cash and marketable securities is equity in two companies whose prices are volatile and, in the case of SpaceX, subject to restrictions we could not confirm. Lease and purchase commitments for data centres are off the headline debt figure and are not retrieved.

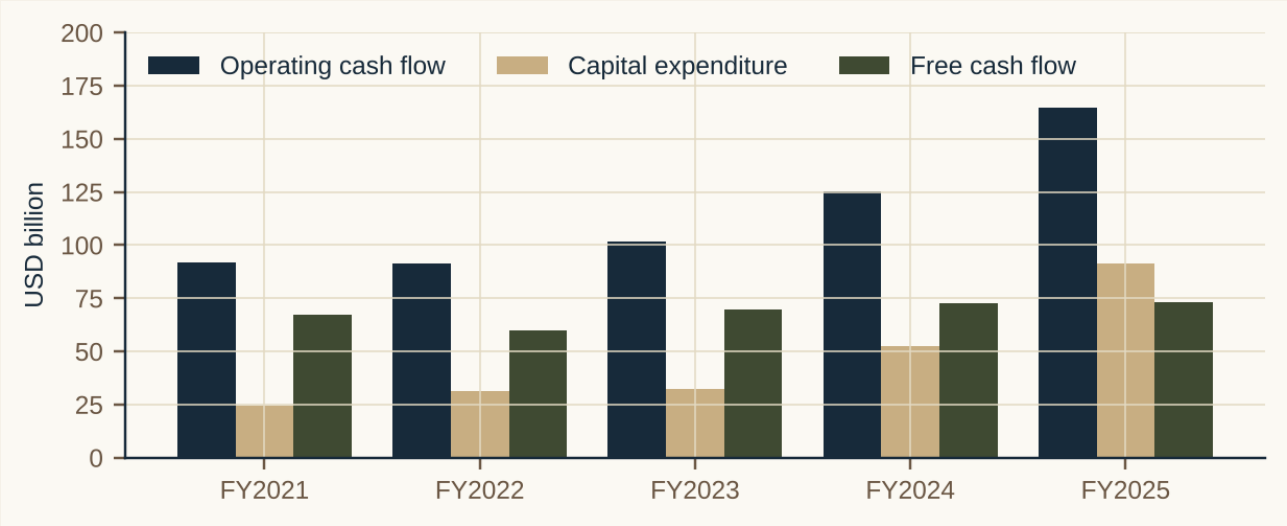
C3. Cash Flow Statement

CASH FLOW SUMMARY, USD BILLION

Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Operating cash flow	91.7	91.5	101.7	125.3	164.7	185.7
Capital expenditure	24.6	31.5	32.3	52.5	91.4	132.4
Free cash flow	67.0	60.0	69.5	72.8	73.3	53.3
Share repurchases	50.3	59.3	61.5	62.2	45.7	N/A
Dividends	0.0	0.0	0.0	7.4	10.0	10.3
Stock-based compensation	15.4	19.4	22.5	22.8	25.0	28.1

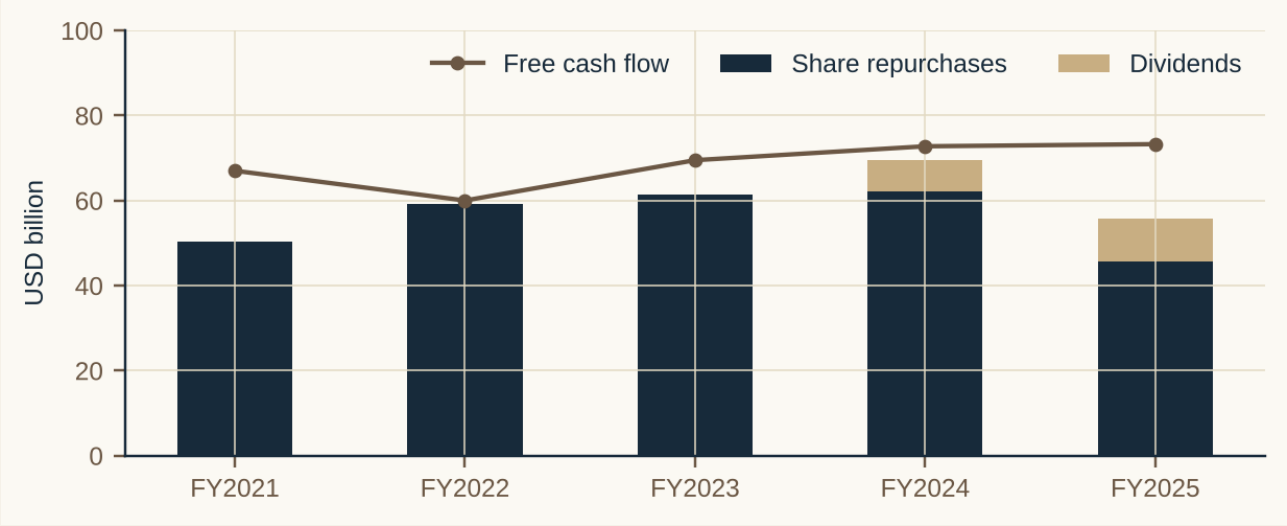
Source: Alpha Vantage cash flow data; Alphabet releases. Free cash flow equals operating cash flow less capital expenditure (calculated; TTM matches the USD 53.3 billion in the Q2 2026 release). Repurchases were nil in H1 2026 versus USD 28.3 billion in H1 2025 per the release.

Operating cash flow, capital expenditure and free cash flow



Source: Alpha Vantage cash flow data. USD billion, FY2021 to FY2025.

Capital returned against free cash flow



Source: Alpha Vantage cash flow data. USD billion, FY2021 to FY2025.

Earnings are supported by cash in the operating business: operating cash flow was 1.25 times net income in 2025. That relationship breaks in the trailing period (0.76 times) because net income includes unrealized gains that generate no cash. Free cash flow has been flat at USD 60 to 73 billion for five years while operating cash flow doubled, because capital expenditure consumed all the growth: capex intensity went from 9.6% of revenue in 2021 to 22.7% in 2025 and 29.7% trailing. In 2022 to

2025 repurchases and dividends were 76% to 99% of free cash flow; in 2026 they have been replaced by debt-funded investment. Working capital effects are small relative to capex.

C4. Forecasting and Projections

Revenue is modelled in total, not by segment, because segment history by year was not retrieved. The 2026 estimate of USD 485 billion (20.4% growth) is the analyst's: first half revenue was USD 229.7 billion (up 23.1%) and we assume a slightly slower second half against a stronger comparison. From 2027 growth fades from 17% to 9% by 2031, as Cloud backlog conversion (about half of USD 514 billion within 24 months) is offset by a larger base and maturing Search.

BASE CASE PROJECTIONS, USD BILLION

Item	2026E	2027E	2028E	2029E	2030E	2031E
Revenue	485.0	567.4	652.6	737.4	818.5	892.2
Growth	20.4%	17.0%	15.0%	13.0%	11.0%	9.0%
Operating margin	N/A	33.0%	34.0%	35.0%	35.0%	35.0%
Operating income	N/A	187.3	221.9	258.1	286.5	312.3
Capex / revenue	41%	35%	30%	26%	23%	20%
Free cash flow to firm	N/A	0.5	51.7	101.5	145.5	185.5

Source: analyst estimates (assumptions, not company guidance). 2026 capex ratio uses mid-point guidance of USD 200 billion. Free cash flow to firm is after tax on operating income at 17.5%, plus depreciation (8% rising to 12% of revenue), less capex and a working-capital investment of 1% of incremental revenue.

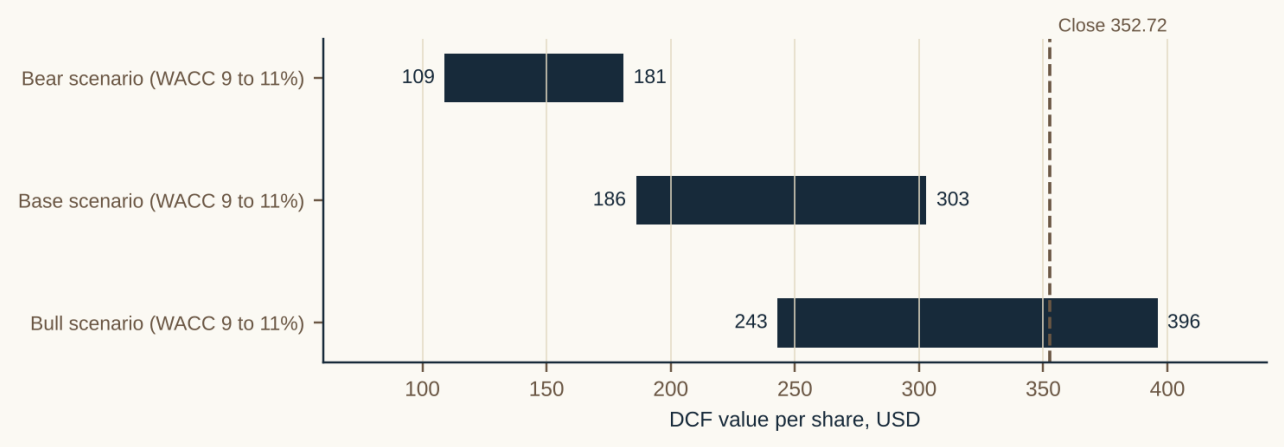
Margins: gross margin has expanded 2.8 points in four years; the base case lets operating margin rise one to two points to 35% as Cloud margin (35.6% in Q2 2026, up from 20.7%) scales, offset by depreciation of the new assets. Research and development at 15% of revenue is held. The main uncertainty is depreciation: USD 200 billion a year of capex will raise depreciation sharply from USD 21.1 billion in 2025.

SCENARIO ANALYSIS

Assumption	Bear	Base	Bull
Revenue growth 2027E to 2031E	10% fading to 5%	17% fading to 9%	22% fading to 10%
Operating margin at 2031E	29%	35%	39%
Capex / revenue at 2031E	26%	20%	18%
Value per share, WACC 9 to 11%	USD 109 to 181	USD 186 to 303	USD 243 to 396
Value per share, WACC 10%	USD 137	USD 231	USD 302

Source: analyst DCF model; terminal growth 3.0 to 4.0% across the WACC range. Ranges are illustrative valuation ranges, not predictions.

DCF value per share by scenario against the latest close



Source: analyst DCF model; closing price from Alpha Vantage, 12 October 2026. USD per share.

C5. Discounted Cash Flow (DCF) Model

Assumptions: 2026E revenue USD 485 billion; growth, margin and capex as in C4; tax rate 17.5% (2025 effective 16.8%); depreciation 8% to 12% of revenue; working capital 1% of incremental revenue; stock-based compensation treated as a cost (it is inside operating income). WACC is 10.0% in the base case: cost of equity 10.0% (risk-free 5.22% ten-year Treasury yield on 8 October 2026, equity risk premium assumed 4.0%, beta 1.20) and after-tax cost of debt near 4%, with a 97% equity weight. Terminal growth 3.5%, with terminal capex set at 1.15 times depreciation. Cash flows are discounted from five annual periods after 2026.

Results at base: present value of 2027 to 2031 free cash flow USD 334 billion; terminal value USD 3.84 trillion (present value USD 2.39 trillion, 88% of enterprise value); enterprise value USD 2.72 trillion; plus net cash USD 121.7 billion; equity value USD 2.84 trillion; over 12.31 billion diluted shares equals USD 231 per share. The net cash includes the equity stakes at current marks.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, USD

WACC	2.5%	3.0%	3.5%	4.0%	4.5%
8.5%	261	283	308	340	379
9.0%	239	257	278	303	334
9.5%	220	235	252	273	298
10.0%	203	216	231	248	268
10.5%	189	200	212	227	244
11.0%	176	186	197	209	223

Source: analyst DCF model. Base case operating assumptions.

SENSITIVITY: REVENUE GROWTH SHIFT (ROWS, POINTS PER YEAR) AGAINST OPERATING MARGIN SHIFT (COLUMNS, POINTS), WACC 10%, TERMINAL GROWTH 3.5%, USD PER SHARE

Growth shift	-4	-2	0	+2	+4
-4 points	169	182	195	209	222
-2 points	184	198	212	227	241
0 points	200	215	231	246	262
+2 points	217	234	250	267	284
+4 points	235	253	271	290	308

Source: analyst DCF model.

C6. Leveraged Buyout (LBO) Model

Not applicable. With an equity value above USD 4 trillion, net cash and dual-class founder control, no financial sponsor could finance, acquire or exit Alphabet, and a leveraged structure would add no analytical information.

D. Investment Thesis

Bull Case

Cloud revenue keeps compounding near the pace implied by the USD 514 billion backlog, Search and YouTube grow in the high teens as AI answers expand query volume, operating margin reaches about 39% by 2031 and capex falls to 18% of revenue as utilization rises. Revenue growth of 22% fading to 10% a year gives a DCF value of about USD 302 at a 10% discount rate and USD 243 to 396 across 9 to 11%; the upper end only exceeds the current price with a discount rate near 9% and strong execution. Valuation expansion would also require rates to fall.

Bear Case

Growth slows to 10% fading to 5% as AI workloads are commoditized and Search monetization falls; margin compresses to 29% because depreciation from the capital programme outruns revenue; an adverse structural remedy reduces distribution; debt continues to rise and the market marks down the Anthropic and SpaceX stakes. DCF value falls to about USD 137 at 10% (USD 109 to 181 across 9 to 11%), and a de-rating of the multiples to the FY2023 levels of 17.3x EV/EBITDA and 25.3x P/FCF would remove a large part of the equity value.

Base Case

Revenue of USD 485 billion in 2026 growing 17% in 2027 and fading to 9% by 2031, operating margin of 33% to 35%, capital expenditure falling from 41% to 20% of revenue, and a 10% WACC give about USD 231 per share, with a range of USD 186 to 303. This is below the market price: the market is capitalizing a stronger or longer growth path, or a lower discount rate near 8%. The base case is not a forecast of the share price; it shows how much of the current price depends on assumptions above ours.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Third quarter 2026 results	Expected late October 2026 (date to be confirmed)	First test of Cloud backlog conversion and of capex guidance of USD 195 to 205 billion
Next flagship AI model release	2026 to 2027	Addresses the model gap acknowledged by management
Ad tech remedy decision	Pending	Structural remedies would change the Network business
Search judgment appeal	2026 to 2027	Determines distribution agreements
Capital return policy	Ongoing	Resumption of repurchases would signal confidence in free cash flow
Equity stake monetization	Ongoing	Converts unrealized gains to cash

Source: Alphabet Form 10-K FY2025 and Q2 2026 materials; analyst assessment. Dates not confirmed by the company are marked as such.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Cloud growth and margin	Drives the growth thesis	Growth above 60% with margin above 30%	Margin below 25% or growth below 40%
Cloud backlog	Visibility of future revenue	Above USD 514 billion with faster conversion	Flat or falling
Capex and free cash flow	Return on AI investment	Capex stable near guidance, FCF positive	Capex above guidance with negative FCF
Search and other growth	Core cash engine	Above 12%	Below 8%
Operating margin	Operating leverage	Above 34%	Below 30%
Net debt position	Balance-sheet capacity	Net cash above USD 100 billion	Net cash below USD 50 billion
Equity gains and cash conversion	Earnings quality	Operating cash flow above net income excluding gains	Large reversals of marks
Legal rulings	Structural risk	Remedies limited to conduct	Divestiture of Network or Chrome type assets

E. Final Investment Framework

BUSINESS QUALITY	Very high. Two scaled profit pools, 59.7% gross margin, USD 164.7 billion of 2025 operating cash flow.
FINANCIAL QUALITY	High operationally, lower on reported earnings. Net income is inflated by USD 99.0 billion of equity gains and free cash flow is falling under capex.
COMPETITIVE POSITION	Strong in advertising and distribution, improving in Cloud, contested in frontier AI models.
MANAGEMENT	Capable and long-tenured, with a dual-class structure; recent capital allocation favours investment over repurchases, and capex guidance has been revised upward repeatedly.
INDUSTRY	Structurally transforming: advertising mature, cloud and AI in a capital-heavy growth phase, search disrupted.
VALUATION	Demanding. 81x P/FCF and 24x EV/EBITDA, with DCF values of USD 186 to 303 in the base range against a price of USD 352.72.
TECHNICAL AND MARKET STRUCTURE	Consolidation within an uptrend: above 50 and 200 day averages, RSI 57, 13.7% below the May 2026 monthly high.
PRINCIPAL RISK	Structural antitrust remedy combined with AI disruption of Search economics.
PRINCIPAL CATALYST	Conversion of the USD 514 billion Cloud backlog into revenue and free cash flow.
KEY VARIABLE	Return on invested capital of the AI capital programme, observable as free cash flow margin and Cloud operating margin.
THESIS INVALIDATION	The investment thesis would become materially weaker if Cloud revenue growth falls below 40% with operating margin below 25%, if Search and other growth falls below 8%, if free cash flow stays negative for two consecutive quarters with capex above USD 200 billion, or if a court orders structural separation of core distribution or advertising assets.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalization	USD 4.31tn	USD 3.78tn (Dec 2025)	USD 1.92tn (Dec 2021)
Market	Enterprise value	USD 4.19tn	N/A	N/A
Market	Share price (Class A)	USD 352.72	USD 313.00 (Dec 2025)	+187% (3Y), +141% (5Y)
Growth	Revenue growth	24.2% (Q2 2026)	15.1% (FY2025)	12.5% CAGR (3Y), 17.2% (5Y)
Profitability	Gross margin	59.7% (FY2025)	58.2%	56.9% (FY2021)
Profitability	Operating margin	33.1% (TTM)	32.1% (FY2024)	30.6% (FY2021)
Profitability	Net margin	54.8% (TTM)	32.8% (FY2025)	29.5% (FY2021)
Profitability	ROE	48.7%	35.7% (FY2025)	32.1% (FY2021)
Profitability	ROIC	24.9%	34.9% (FY2025)	51.9% (FY2021)
Cash flow	Operating cash flow	USD 185.7bn (TTM)	USD 164.7bn (FY2025)	15.8% CAGR (FY21 to FY25)
Cash flow	Free cash flow	USD 53.3bn (TTM)	USD 73.3bn (FY2025)	2.2% CAGR (FY21 to FY25)
Leverage	Net debt / EBITDA	Net cash USD 129.7bn	Net cash USD 67.6bn	Debt / EBITDA 0.65x
Valuation	P/E	17.7x (forward 26.2x)	28.6x (FY2025)	25.3x (FY2021)
Valuation	EV/EBITDA	24.2x	24.8x (FY2025)	20.3x (FY2021)

Category	Metric	Current	Prior year	3Y / 5Y trend
Valuation	P/FCF	81.0x	51.6x (FY2025)	28.7x (FY2021)
Market	Beta	1.21 (vendor)	1.20 (calculated)	Five-year monthly
Market	Volatility	31.0% annualized	33.7% (3 months)	Five-year monthly
Market	Maximum drawdown	(40.4%)	S&P 500 (23.9%)	Five years, month-end

Source: Alpha Vantage, StockAnalysis, Alphabet releases; calculations by the analyst. Prior year column shows the most recent fiscal year end (31 December 2025) or the previous fiscal year where stated. TTM is the twelve months to 30 June 2026. Net margin and P/E are distorted by non-operating equity gains.

G. Sources and Methodology

Data cross-check

Figures were compared across the company filings, a data vendor and a ratio provider. Alphabet's Q4 2025 release reports 2025 operating income of USD 129.0 billion, while the vendor statement shows USD 129.2 billion; the release is preferred as the primary source. Net income and revenue agree. Net cash is USD 121.7 billion on the ratio provider's definition and USD 129.7 billion on the analyst's calculation (cash and marketable securities less debt including leases); both are shown. Share count is 12.23 billion on the ratio provider, 12.31 billion diluted implied by the second quarter release, and 12.31 billion period end in the filings data; market capitalization uses 12.23 billion. A vendor cash flow field showed an identical repurchase figure for the first quarters of 2025 and 2026; the release, which reports nil repurchases in the first half of 2026, is preferred. Segment revenue by year from a third-party page was inconsistent with reported totals and was not used. Price data are the Class A shares (GOOGL) closing price of 12 October 2026.

Source list

Primary Sources

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Federal Reserve Bank of St. Louis (FRED), Market yield on U.S. Treasury securities at 10-year constant maturity (DGS10). Data to 8 October 2026. `https://fred.stlouisfed.org/series/DGS10`. Information obtained: Risk-free rate for the cost of equity

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Fortune, Anthropic and SpaceX investments drive Google's biggest-ever profit quarter. 22 July 2026. `https://fortune.com/2026/07/22/anthropic-spacex-investments-google-earnings-biggest-ever-profit-quarter/`. Information obtained: Attribution of the equity gain to the Anthropic and SpaceX stakes, SpaceX listing

Market Data

Alpha Vantage, Daily, adjusted monthly, SMA and ATR series for GOOGL and SPY; income statement, balance sheet and cash flow data. Data to 12 October 2026. `https://www.alphavantage.co/documentation/`. Information obtained: Prices, returns, moving averages, historical financial statements

StockAnalysis, Alphabet (GOOGL) statistics. 13 October 2026. `https://stockanalysis.com/stocks/googl/statistics/`. Information obtained: Market capitalization, enterprise value, multiples, beta, ownership

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StockAnalysis, Meta Platforms statistics. 13 October 2026. https://stockanalysis.com/stocks/meta/statistics/. Information obtained: Peer valuation and margins

Calculations

Calculated by the analyst: trailing twelve month totals (sum of four quarters), EBITDA (operating income plus depreciation and amortization), free cash flow (operating cash flow less capital expenditure), net cash, ratios and growth rates, returns, volatility, beta, correlation, drawdown, 50-day average and RSI and MACD from daily closes, the revenue and margin forecast, the discounted cash flow model and sensitivities. Industry market sizes and cloud market shares were Not Retrieved from a primary source. Forecasts are assumptions, not company guidance.

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